World Bank

History & Introduction

The history of the World Bank is a fascinating journey that began in the aftermath of World War II. The institution, formally known as the International Bank for Reconstruction and Development (IBRD), was established with the goal of rebuilding war-torn Europe and supporting the economic recovery of developing countries. Here's an overview of the World Bank's history.

The primary purpose of the World Bank was to provide financial and technical assistance to European countries devastated by World War II. It aimed to fund reconstruction projects and foster economic development in war-affected regions.

1. Formation and Early Years (1944-1946):

The World Bank was established during the Bretton Woods Conference held in July 1944 in Bretton Woods, New Hampshire, USA. The conference aimed to design a post-World War II international monetary and financial system. Delegates from 44 Allied nations attended the conference, and they created two key institutions: the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD), which later became the World Bank.

2. Initial Focus on Post-War Reconstruction (1946-1960s):

The World Bank's initial focus was on providing financial and technical assistance for the reconstruction of war-torn Europe and Japan after World War II. During this period, it also supported other developing countries' efforts to rebuild their economies and infrastructure.

3. Expansion of Mission and Activities (1960s-1980s):

In the 1960s, the World Bank expanded its mission to address broader development challenges, such as poverty reduction and economic growth in developing nations. It started financing projects in various sectors like agriculture, education, health, and transportation.

4. Institutional Changes (1980s-1990s):

In the 1980s, the World Bank underwent significant changes in its approach to development financing. It adopted structural adjustment programs (SAPs) to address economic crises in developing countries, but these programs were also criticized for their social and environmental impact. In response to the criticisms, the World Bank focused more on poverty reduction and sustainable development in the 1990s.

5. Focus on Millennium Development Goals (2000s):

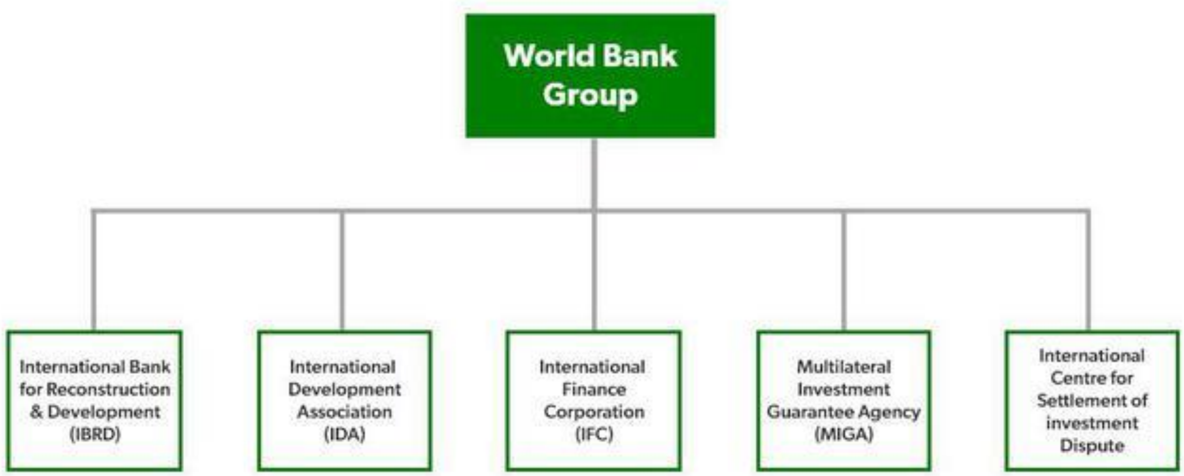
In the early 2000s, the World Bank aligned its efforts with the Millennium Development Goals (MDGs), which were adopted by the United Nations in 2000 to address global challenges such as poverty, hunger, and disease. The World Bank played a key role in supporting countries to achieve these goals.

6. Emphasis on Sustainable Development Goals (SDGs) and Reforms (2010s-Present):

In 2015, the United Nations adopted the Sustainable Development Goals (SDGs), a set of 17 global goals aimed at ending poverty, protecting the planet, and ensuring prosperity for all. The World Bank has since been actively supporting countries in their efforts to achieve these goals.

5 Groups of World Bank

World Bank was officially established as one organization, but now it divided into 5 different groups for purpose to enhance its efficiency. These 5 groups have different activities and functions but they all manage and control by World Bank.



1. International Bank for Reconstruction and Development (IBRD):

Established in 1944, member country are 189, the IBRD aims to provide financial and technical assistance to middle-income and creditworthy low-income countries. It focuses on development projects that aim to improve infrastructure, education, and healthcare.

2. International Development Association (IDA):

Established in 1960, member countries are 174, the IDA provide concessional loans and grants to the world's poorest countries. It aims to support projects that uplift the living standards of people in these nations and promote sustainable development.

3. International Finance Corporation (IFC):

Established in 1956, a member country are 186, the IFC focuses on promoting private sector investment in developing countries. It provides investment and advisory services to help create and grow businesses, which in turn contributes to economic development and job creation.

4. Multilateral Investment Guarantee Agency (MIGA):

Established in 1988, member countries are 182, MIGA provides political risk insurance and credit enhancement guarantees to attract foreign direct investment into developing countries. It helps investors mitigate risks associated with investments in emerging markets.

5. International Centre for Settlement of Investment Disputes (ICSID):

Established in 1966, member countries are 163, ICSID provides facilities for the arbitration and conciliation of investment disputes between foreign investors and member countries. It aims to promote stability and confidence in international investment.

Objectives of World Bank

- To provide long term capital to members countries for economic reconstruction and development.
- To induce long term capital investment for assuring BOP equilibrium and balanced development of international trade.

- To promote capital investment in member's countries by following ways.

    I. To provide a guarantee on private loans or capital investment.
    II. If capital is not available even after providing a guarantee, then IBRD provides loans for productive activities on considerate conditions.

- To ensure the implementation of development projects so as to bring about a smooth transference from wartime to a peaceful economy.

- To reduce number of people living in poverty line, such as $1.9 per day.

Functions of World Bank

- Bank can grant loans to member's countries up to 20 % of its share in paid-up capital for duration of 5 to 20 years.

- Bank also provides loans to private investors belonging to the members on its own guarantee, but private investors need to take permission of its native country. Banks charge 1% to 2% as service charges.

- World Bank also gives preference to more useful projects.

- To promote private foreign investment.

- The quantum of loan service, interest rate, terms and conditions are decided by the World Bank itself.

- The debtor nation has to repay either in reserve currencies or in the currencies in which the loan was sanctioned.

- To promote the balance growth of international trade through the development of productive resources of members.

Management of World Bank

The board of governors and board of executive directors manage the World Bank. The board of governors exercises specific powers like admission of new member.

The executive board consists of both appointed and elected executive directors. There are **24** directors of which USA, UK, Germany, France and Japan appoint 5 directors. The remaining 184 countries appoint 19 directors.

The 24 executive's directors normally meet twice a week to oversee the bank business. An Annual Meetings held by World Bank which bring together central bankers, ministers of finance and development, private sector leaders, civil society, media, and academics to discuss the most pressing issues facing the global economy, including the world economic outlook, global financial stability, poverty eradication, inclusive economic .

USA appoints the president of World Bank for Five years renewable period. The president chairs the meeting of executive directors.

Pakistan and World Bank

Pakistan has been a recipient of financial assistance from the World Bank since the 1950s. Over the years, the World Bank has funded various projects in Pakistan in areas such as infrastructure development, education, health, agriculture, and energy. From 1950 to 2023 World Bank grants up to $40 Billion to Pakistan for different projects.

Some of the key areas of collaboration between Pakistan and the World Bank have included:

Infrastructure Development:

The World Bank has supported Pakistan in building and improving infrastructure, including roads, bridges, and transportation systems, to facilitate economic growth and development.

Education and Health:

The World Bank has provided funding to enhance education and healthcare services in Pakistan, aiming to improve access and quality in these sectors.

Water Resource Management:

Due to Pakistan's significant reliance on agriculture, the World Bank has financed projects related to water resource management and irrigation systems to increase agricultural productivity.

Energy Sector:

The World Bank has also supported Pakistan in the energy sector to address the country's energy needs and promote sustainable and efficient energy sources.

Governance and Institutional Reforms:

The World Bank has provided support for governance and institutional reforms to enhance public sector efficiency, transparency, and accountability.

World Bank latest program in Pakistan.

- July 12-2023, World Bank approve $100 Million for" Family Planning Service in Punjab".
- June 13-2023, World Bank approves $200 Million for "Post floods Rehabilitation for KPK and to Support Citizen-Driven Rural".

Thank you